optimistic an estimate. On the face of it, it doesn't make good sense to step out of a position where you have a 90 percent probability of being right because of an influence about which you might at best have a 60 percent chance of being right.

Moreover, for those seeking major gains through long-term invest-ments, the odds of winning are not the only consideration. If the investment is in a well-run company with sufficient financial strength, even the greatest bear market will not erase the value of holding. In contrast, time after time, truly unusual stocks have subsequent peaks many hundreds of percent above their previous peaks. Thus, risk/reward considerations favor long-term investment.

So, putting it in the simplest mathematical terms, both the odds and the risk/reward considerations favor holding. There is a much greater chance of being wrong in estimating adverse short-term changes for a good stock than in projecting its strong, long-term price appreciation potential. If you stay with the right stocks through even a major temporary market drop, you are at most going to be temporarily behind 40 percent of the former peak at the very worst point and will ulti-mately be ahead; whereas if you sell *and don't buy back* you will have missed long-term profits many times the short-term gains from having sold the stock in anticipation at a short-term reversal. It has been my observation that it is so difficult to time correctly the near-term price movements of an attractive stock that the profits made in the few instances when this stock is sold and subsequently replaced at signifi-cantly lower prices are dwarfed by the profits lost when timing is wrong. Many have sold too soon and have either never gotten back in or have postponed reinvestment too long to recapture the profits possible.

The example I will use to illustrate this point is the weakest one I have experienced. In 1962, two of the major electronics investments I had made had risen to heights that made the outlook for near-term price movement extremely dangerous. Texas Instruments was selling at over fifteen times the price I had paid for it seven years before. Another company which I bought a year or so later, and which I shall call by the fictitious name of “Central California Electronics.” had enjoyed a simi-lar percentage rise. Prices had gone too far. I consequently informed each of my clients that the prices of these two stocks were unrealistically high and discouraged them from using these prices in measuring their current net worth. This is a